CROWN-BERGER KENYA LTD

ANNUAL REPORT & FINANCIAL STATEMENTS
2006

corporate information

PRINCIPAL PLACE OF BUSINESS
Mogadishu Road
PO Box 78084, 00507,
Nairobi.

REGISTERED OFFICE
LR No. 209/5792
Mogadishu Road
PO Box 78084, 00507,
Nairobi.

BANKERS
Barclays Bank of Kenya Ltd
P.O.Box 18060, 00100 GPO,
Nairobi

SOLICITORS
Kairu Mbuthia & Partners Advocates
Old Mutual Building, Kimathi Street,
P.O. Box 6574, 00100 GPO,
Nairobi

SECRETARY
Fiona Fox
PO Box 41968, 00100 GPO,
Nairobi

REGISTRARS
Chunga Associates
P.O. Box 41968, 00100 GPO,
Nairobi

AUDITORS
Ernst & Young
Kenya-Re Towers, Upperhill
P.O. Box 44286, 00100 GPO,
Nairobi

contents

notice of annual general meeting

NOTICE IS HEREBY GIVEN that the 50th Annual General Meeting of the Company will be held at the Crown Berger Factory, Mogadishu Road, Nairobi on 12 June 2007 at 2.00 p.m. to conduct the following business:

1. To read the notice convening the meeting.

2. To table the proxies and confirm the presence of a quorum.

3. To consider and, if approved, adopt the audited Balance Sheet and Accounts for the year ended 31 December 2006 together with the Directors' and Auditors' Reports thereon.

4. To declare a dividend:

To declare a final dividend of KShs 1.50 per ordinary share for the financial year ended 31 December 2006 and to approve the closure of the Register of Members from the close of business on 13 June 2007 up to and including 14 June 2007.

5. To approve the Directors' remuneration.

6. To elect directors:

i) Mr. M Charania retires by rotation in accordance with Article 100 of the Company's Articles of Association and being eligible, offers himself for re-election.

ii) Mr. FO Ogutu who was appointed an additional director on 23 November 2006, retires from office in accordance with Article 101 of the Company's Articles of Association and being eligible, offers himself for re-election.

7. To authorise the Directors to fix the remuneration of the Auditors, Ernst & Young.

By Order of the Board

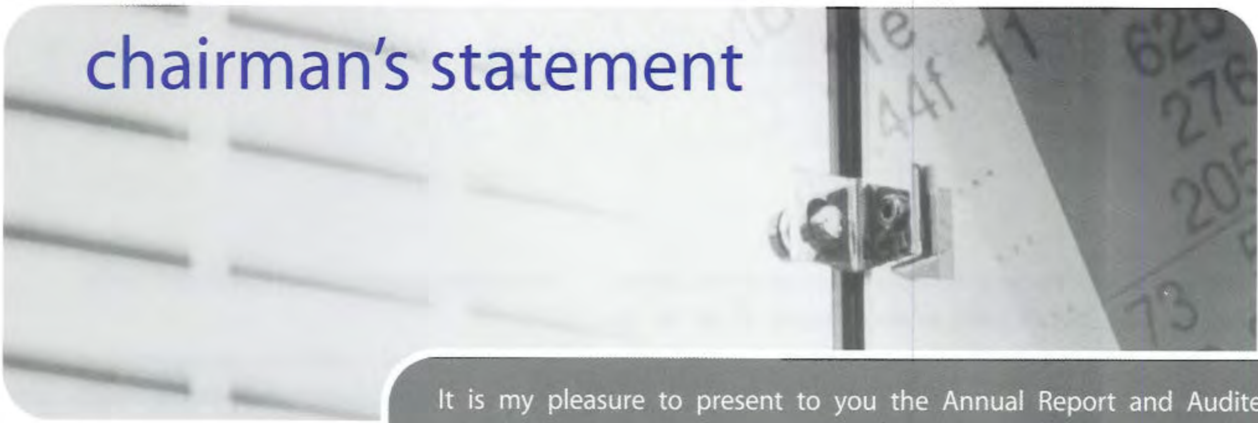
Fiona Fox
SECRETARY

8 May 2007

PO Box 41968, 00100 - NAIROBI

NB. In accordance with section 136 (2) of the Companies Act (Cap. 486) every member entitled to attend and vote at the above meeting is entitled to appoint a proxy to attend and vote on his behalf. A proxy need not be a member. Proxy forms should be returned to the Secretaries, PO Box 41968, 00100 - Nairobi, to arrive not later than 48 hours before the meeting or any adjournment thereof. A form of proxy is provided at the end of this report.

chairman's statement



It is my pleasure to present to you the Annual Report and Audited Financial Statements for the year ended 31 December 2006 and to update you on your company's performance and the challenges facing us.

BUSINESS ENVIRONMENT

Kenya's economy has undergone a dramatic transformation and is set for strong and sustainable growth in 2007.

The robust performance was driven mainly by steady growth in key sectors including Tourism, Communication, Construction and Manufacturing.

The construction industry remains vibrant as the demand for residential houses, supported by improved accessibility of mortgage finance remains strong.

2006 RESULTS

Greater economic performance has helped the Group to report impressive performance for the year 2006. Turnover has grown from KShs 1.44 billion to Kshs 1.68 billion registering a 17% growth over the last year.

Operating profit shows a growth of 35% over last year. This is despite a significant increase in advertising expenditure on the re-launch of the corporate identity, and a substantial increase in the cost of raw materials due to increase in international oil prices. To maintain its market share, the company has absorbed most of the increased input cost and embarked on cost cutting measures to increase the profitability of the company.

As part of its growth agenda, the company has invested in Uganda. From Uganda the Central African market will be more easily approachable.

With these encouraging results, I am pleased to report that the Board recommends a final dividend of KShs 1.50 per share.

MANUFACTURING

We managed to increase the volume of production by 15% over 2006. We achieved the highest fill rates ever and this production enabled us to improve our supply rate.

During the year, capital investments of nearly KShs 70 million were made to meet increasing production and demand.

The company retained its ISO 9001 certification and continues to focus on environmental matters and on the Health and Safety of its staff.

SALES & MARKETING

Our Brand continues to maintain its number one position due to aggressive marketing and continuous efforts to improve brand image. This has led to Crown Berger winning the MSK award for Best Development of an Existing Brand.

Strategic business partnership have been built up with international companies to tap into special coating market in areas of auto, protective coating and various industrial coatings to high margin products.

We continue exploring opportunities for growth in the regional markets.

UNIBILT 2003 LTD

The factory and premises of Unibilt were leased to a third party from May 1st 2007. This will free up substantial resources for your company and will help the board & management concentrate on

chairman's statement/ continued

our core business. The Lease Agreement has been drawn with an understanding that supplies to the company of all our tin requirements are met at all times and at favourable prices.

CROWN BUILDING & PRODUCTS LTD, UGANDA

Operations in Uganda started in August 2006 and the business looks promising. The company will continue pursuing an aggressive expansion plan.

DIRECTORS

During the year, Mr. Amish Gupta, having served your company since 2002, resigned from the board due to his busy schedule. I would like to thank Amish for his invaluable and positive contributions to the company and wish him the very best in his endeavours.

We appointed Mr. Francis Ogutu as a non-executive director of the company. We strongly believe that he has the skills and diversity of experience that the Board requires and will add significantly to the governance of your company.

FUTURE OUTLOOK

The future prospects of the company appear brighter than they have been in the recent past. We are optimistic for business growth and enhancement of shareholders value.

The company has a proficient management team in place and continues to attract and retain the best staff to be able to explore the full potential of the Kenyan and the regional markets.

APPRECIATION

Finally, I would like to thank you the shareholder, all our business partners, board members and members of staff for their contribution in making 2006 such a success. Assured of your continued support, I look forward to 2007 with optimism.

Mhamud Charania
CHAIRMAN
8 May 2007

managing director's STATEMENT

It is with pride and pleasure that I can announce trading results that reflect a year of hard work based upon a successful shift in strategy for our company. Our turnover has grown from Ksh 1.44 Billion to Ksh 1.68 billion representing 17% growth over last year with a 35% improvement in the bottom line in spite of the tide of inflatory factors such as raw material price increases, crude oil volatility, exchange rate fluctuation , drought and high interest rates which would normally depress the value and volumes of the business both, with a subsequent depression of the profit margin.

In 2006,Kenya's GDP has grew by 6%, thanks to a stable macro-economic environment. Key sectors of agriculture, tourism, telecommunications and our own relative the building industry which we depend on for so much of our business ,increased their contribution to economic growth well in the excess of the overall predicted levels.

We at Crown Berger sharpen our focus on number of key areas from which we have demonstrated substantial increase in productivity. Those areas were:

- Optimising resources use in such as manpower, machineries and materials
- Continuous improvement in quality through process re engineering.
- Implementation of various professional concepts such as supply chain management, maintaining and monitoring ISO 9001best practise and various cost cutting measures to keep cost under control.
- Creating a culture that encourages individual imagination, focus on accomplishment, thinking out of the box and mind set driven by a desire to create future business growth.
- Giving the highest priority to health and safety for Employees with regard to conservation of the various environment norms by providing continuous training and upgrading their skills.

SALES AND MARKETING

In 2006 saw the introduction of higher technology products. These have repositioned us in niche markets where we previously we did not compete.

- Newly launched products include thermoplastic road marking paints, in addition to this we have invested in support machinery has increased our competitiveness in this considerably sector and application training of our own staff who are now skilled crews.
- We also entered the marine paint sector, and are currently supplying the Kenya Navy , amongst other key players.
- Our decorative range has seen a re-design of liveries which had remained unchanged for twenty five years. This was done with the involvement and support of our national dealer chain.
- Following this innovative launched of two new products, Ruff'N' Tuff and Colour Creations. Ruff and Tuff is an exterior 100% acrylic emulsion that combines advance technology which assured life for 10 years, fights fungus and dampness, whilst remaining dirt free due to its self cleansing properties.

Crown creation is interior paint with pearl metallic finish which provide aesthetic beauty with a totally washable surface. This product is very suitable for designer professionals.

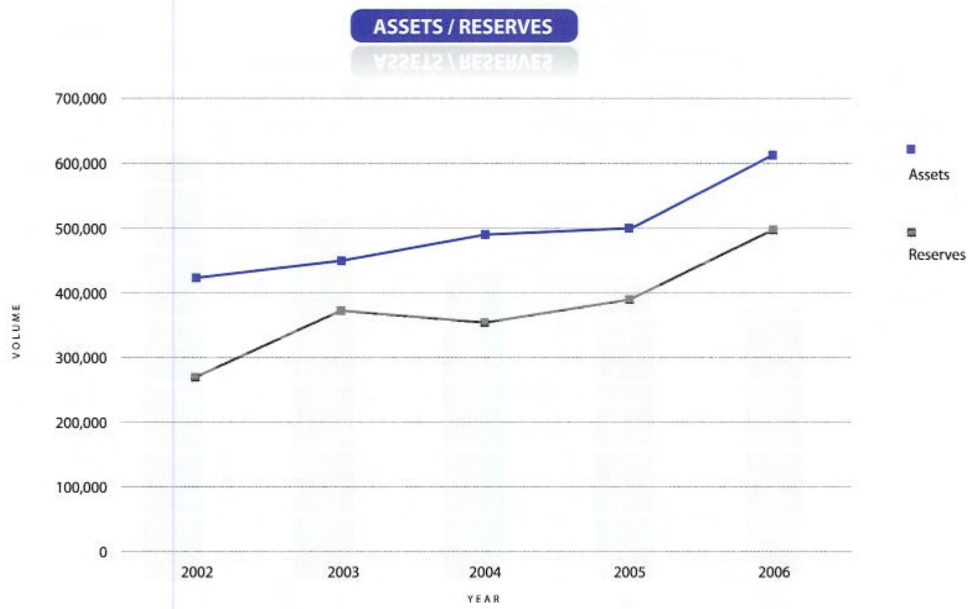
These two products are based on quality performance and uniqueness of application appearance.

Via transfer of technology we have a 'Roll out' programme of new decorative products. The grass will never grow under our feet again.

CORPORATE SOCIAL RESPONSIBILITY – (C.S.R)

2006 has been our most active year. We have assisted several children's homes such as (Kenwa, Anand Marga) an orphanage for

business highlights/ continued



corporate governance

1. INTRODUCTION

Crown-Berger Kenya Ltd is committed to the highest standards of governance by establishing a number of management and social responsibility principles in addition to the standards of Corporate Governance introduced by Capital Market Authority. The Board of Directors is responsible for the long-term growth and profitability of the company.

2. THE BOARD OF DIRECTORS

The Board comprises of 9 directors, of whom 3 are executive. Mr. Rakesh Rao is Managing Director and Mr. Patrick Mwati is the Finance Director. The Managing Directors performance is measured continuously. Any impending resignation of directors and the underlying circumstances are disclosed in the annual report.

The non-executive directors are considered to be independent of management influence and do not engage in any business or interest that could impair their participation in the management of the company.

All directors are required to submit themselves for re-election every three years.

The Directors are given appropriate and timely information so that they can maintain full and effective control over all strategic, financial, operational and compliance issues. The Board meets at least 4 times a year with additional meetings held as and when the need arises.

Whilst the day to day running of the business of the company is delegated to the Managing Director, the Board is responsible for establishing and maintaining the Company's system of internal controls so that its objectives for growth in the profitability and shareholder value are realized.

All directors receive formal information on their role, duties, responsibilities and obligations as well as board practices and procedures on first appointment. Subsequently, they are kept informed of corporate governance, changing corporate environment, business/commercial risks and other matters that are of interest in the execution of their role.

3. BOARD MEETING

The Board of Directors meets every quarter to monitor the company's financial performance, plan strategy and review performance. Specific reviews are also undertaken of management performance, operational issues and future planning as and when needed.

4. BOARD COMMITTEES

There are two main committees that meet regularly under the terms of reference set by the Board.

a) **Audit Committee**

The audit committee chaired by a Non Executive director and with attendance by invitation of the Managing Director and other key personnel reviews the effectiveness of internal controls and discusses the audit reports.

b) **Finance Committee**

This committee is also chaired by a non-executive director, meets at least 4 times in a year to receive reports from management to review performance against targets, ensure compliance and to issue guidelines where necessary.

The Board appoints other committees as and when required.

5. COMMUNICATION WITH SHAREHOLDERS

The company is committed to:

- Ensuring that shareholders and financial market are provided with full and timely information about its performance.
- Compliance with regulations and obligations contained in the Nairobi Stock Exchange's Listing Rules and the Capital Markets Authority Act.

This is usually done through the distribution of the company's Annual Report and the release of notices in the press of its half-yearly and annual results.

6. DIRECTORS' EMOLUMENTS AND LOANS

The aggregate amount of emoluments paid to directors for services rendered is disclosed in the financial statements. No arrangements exist whereby a Director could acquire Company's shares on beneficial terms.

report of the directors

FOR THE YEAR ENDED 31 DECEMBER 2006

The directors submit their report and the audited financial statements for the year ended 31 December 2006, which show the state of the group's affairs.

1. PRINCIPAL ACTIVITIES

The principal activities of the company and its subsidiaries are to manufacture and sell paints, adhesives, decorating sundries, PVA emulsion, alkyd resins and tins.

The operations of Twiga Paints Limited, one of the subsidiaries, were from 1st July 2006 taken over by Crown-Berger Kenya Limited, the parent company. Consequently, Twiga Paints Limited became a dormant company. Unibilt 2003 Limited, a subsidiary of Crown-Berger Kenya Limited, leased its operations with effect from 1st May 2007 to Metal Cans and Closures Limited.

2. ROYALTY AGREEMENT WITH IMPERIAL CHEMICAL INDUSTRIES PLC

The royalty agreement entered into between Imperial Chemical Industries PLC and Crown-Berger Kenya Limited (the licensee) expired on 31 December 2005. The royalty agreement gave Crown-Berger Kenya Limited the right to grant sub-licenses to its subsidiary companies. This agreement was not renewed. Consequently, no products were manufactured by Crown-Berger Kenya Limited or its subsidiaries under the brand names of Imperial Chemical Industries PLC after 31 March 2006 when the right to sale products in stock at 31 December 2005 expired.

3. GROUP RESULTS

The results of the group for the year are set out on page 18.

4. COMPANY RESULTS

The results of the company for the year are set out on page 22.

5. DIVIDENDS

Subject to approval by shareholders, the directors recommend the payment of a dividend of KShs 1.50 (2005: KShs 1.00) per share amounting to KShs 35,590,500 (2005: 23,727,000).

6. FINANCIAL STATEMENTS

At the date of this report, the directors were not aware of any circumstances, which would have rendered the values attributed to assets and liabilities in the financial statements of the group misleading.

7. RESERVES

The reserves of the group and the company are set out on page 35, Note 11.

8. DIRECTORS

The directors who served during the year and to the date of this report were:-

M. Charania	Chairman
R.K. Rao	Managing Director
F.G.K. Maina	
M. Bhatt	
P.M. Mwati	(Alternate to M. Bhatt)
H.H.R.J Charania	
A. Gupta	Resigned on 23.11.2006
F. O. Ogutu	Appointed on 23.11.2006

9. AUDITORS

Ernst & Young have expressed their willingness to continue in office in accordance with Section 159(2) of the Kenyan Companies Act.

By Order of the Board

Fiona Fox
SECRETARY

8 May 2007

statement of the directors' responsibilities

ON THE GROUP'S FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2006

The Kenyan Companies Act requires the directors to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the Group and the Company as at the end of the financial year and of the operating results of the Group and the Company for that year. It also requires the directors to ensure the Group and the Company keep proper accounting records which disclose, with reasonable accuracy, the financial position of the Group and the Company. They are also responsible for safeguarding the assets of the Group.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgments and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the Group and the Company and of their operating results. The directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of the financial statements, as well as adequate systems of internal control.

The directors have resolved that the operations of Unibuilt 2003 Limited be leased out with effect from 1st May 2007.

Nothing has come to the attention of the directors to indicate that the other group companies will not remain going concerns for at least the next twelve months from the date of this statement.

Rakesh Rao
DIRECTOR

Patrick Mwati
DIRECTOR

8 May 2007

report of the independent auditors

TO THE MEMBERS OF CROWN-BERGER KENYA LIMITED AND SUBSIDIARIES

We have audited the accompanying consolidated financial statements of Crown-Berger Kenya limited (the company) and its subsidiaries (together, the group), as set out on pages 17 to 45 which comprise the consolidated balance sheet as at 31 December 2006, and the consolidated income statement, statement of changes in equity and cash flow statement for the year then ended, together with the balance sheet of the company as at 31 December 2006, the income statement and statement of changes in equity of the company for the year then ended, and a summary of significant accounting policies and other explanatory notes.

DIRECTORS' RESPONSIBILITY FOR FINANCIAL STATEMENTS

The directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act. This responsibility includes: designing, implementing and maintaining internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

AUDITOR'S RESPONSIBILITY

Our responsibility is to express an independent opinion on the financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depended on our professional judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we considered the internal control relevant to the company's preparation and fair presentation of the financial statements in order to design audit procedures that were appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the company's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

OPINION

In our opinion the accompanying financial statements give a true and fair view of the state of financial affairs of the group and of the company as at 31 December 2006 and of the profit and cash flows of the group and company for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act.

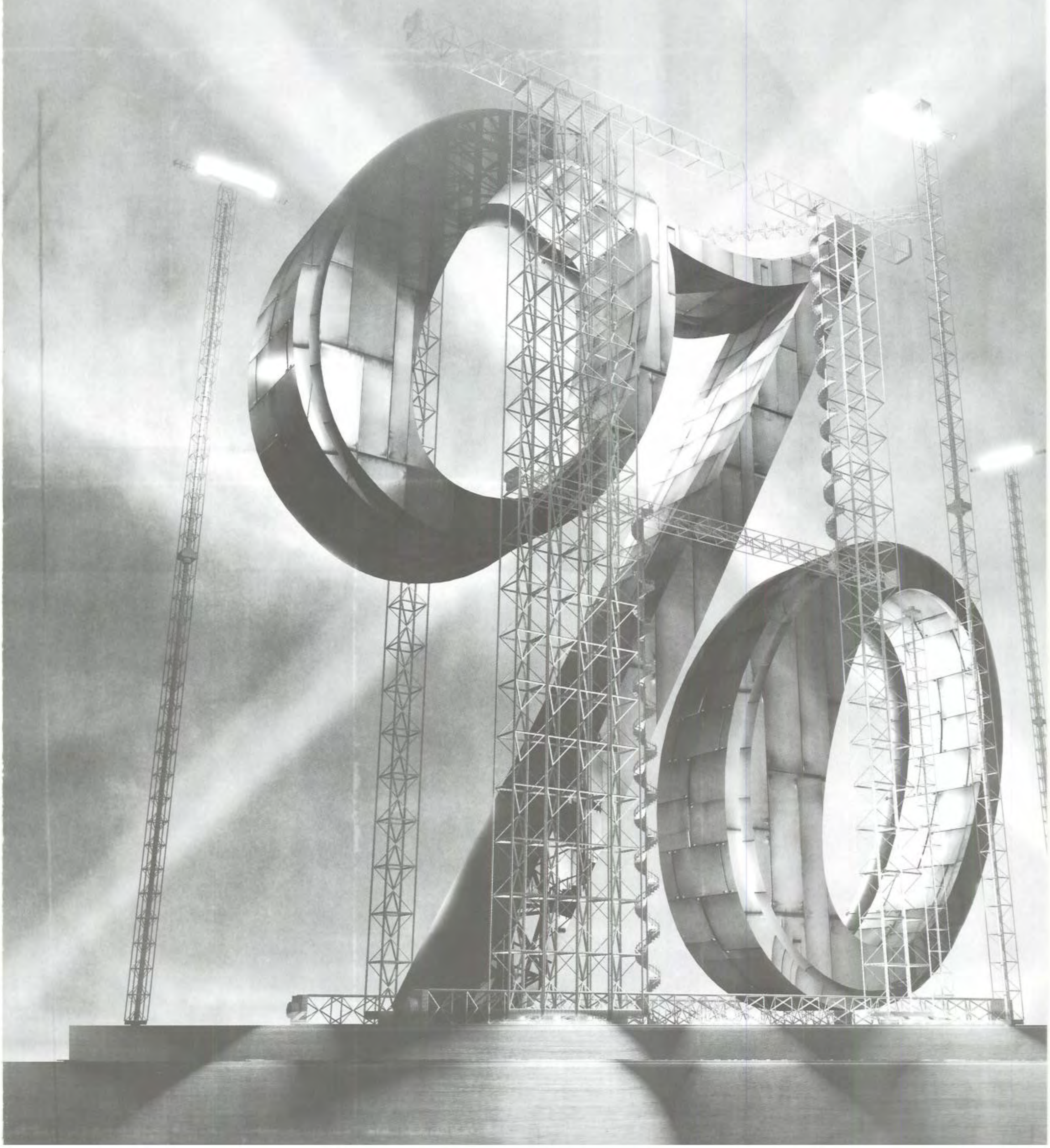
Ernst & Young

Certified Public Accountants

NAIROBI

8 May 2007

financial statements



crown

consolidated balance sheet

AS AT 31 DECEMBER 2006

	Note	2006 KShs.'000	2005 KShs.'000
ASSETS			
NON-CURRENT ASSETS			
Property, plant & equipment	2	458,824	353,489
Work-in-progress	3	15,305	21,723
Prepaid leases on leasehold land	5	10,614	18,128
Inter company loans	9(ii)	15,833	-
		500,576	**393,340**
CURRENT ASSETS			
Stocks	7	571,818	536,027
Trade and other debtors	8	409,954	285,430
Amounts due from related parties	9(iii)	29,513	-
Tax recoverable	26	-	21,093
Bank balances and cash		22,880	22,931
		1,034,165	**865,481**
TOTAL ASSETS		**1,534,741**	**1,258,821**
SHAREHOLDERS' FUNDS AND LIABILITIES			
CAPITAL AND RESERVES			
Share capital	10	118,635	118,635
Reserves	11	616,727	504,307
Proposed dividends	12	35,591	23,727
		770,953	**646,669**
NON-CURRENT LIABILITIES			
Deferred tax	13	78,978	71,939
Loan	15	37,500	-
		116,478	**71,939**
CURRENT LIABILITIES			
Bank overdraft	14	7,104	146,371
Loan	15	69,132	20,000
Commercial paper	16	172,932	142,926
Tax payable	26	9,873	-
Trade creditors and accruals	17	388,269	203,449
Amounts due to related parties	9(iii)	-	27,467
		647,310	**540,213**
TOTAL SHAREHOLDERS' FUNDS AND LIABILITIES		**1,534,741**	**1,258,821**

The financial statements were approved by the Board of Directors on 8 May 2007 and signed on its behalf by:

Rakesh Rao
DIRECTOR

Patrick Mwati
DIRECTOR

consolidated income statement

FOR THE YEAR ENDED 31 DECEMBER 2006

	Note	2006 KShs.'000	2005 KShs.'000
CONTINUING OPERATIONS			
SALES	18	1,689,630	1,442,439
COST OF SALES	19	(1,084,372)	(999,163)
GROSS PROFIT		**605,258**	**443,276**
OTHER INCOME	20	24,052	33,707
		629,310	**476,983**
EXPENSES			
Administration and establishment	21	263,845	198,322
Selling and distribution	22	163,792	111,469
Other expenses	23	58,843	60,269
		486,480	**370,060**
PROFIT FROM CONTINUING OPERATIONS		142,830	106,923
NET FINANCE COSTS	24	**(40,109)**	**(30,655)**
PROFIT FROM CONTINUING OPERATIONS BEFORE SHARE OF ASSOCIATE LOSS EXCEPTIONAL ITEM & TAXATION	25	**102,721**	**76,268**
SHARE OF ASSOCIATE LOSS		(1,000)	-
PROFIT FROM CONTINUING OPERATIONS BEFORE EXCEPTIONAL ITEM & TAXATION		101,721	76,268
EXCEPTIONAL ITEM	4	(21,371)	(6,542)
PROFIT BEFORE TAXATION		80,350	69,726
TAXATION	26	(16,578)	(35,308)
PROFIT FOR THE YEAR FROM CONTINUING OPERATIONS		**63,772**	**34,418**
DISCONTINUED OPERATION PROFIT FOR THE YEAR FROM DISCONTINUED OPERATION	27	8,160	-
PROFIT FOR THE YEAR		**71,932**	**34,418**
Earnings per share		KShs	KShs
Attributable to continuing operations	28	2.69	1.45
Attributable to discontinued operation	28	0.34	-
		3.03	**1.45**
		KShs '000	**KShs '000**
Dividends proposed for the year	12	35,591	23,727

consolidated statement of changes in equity

FOR THE YEAR ENDED 31 DECEMBER 2006

	Share Capital KShs.'000	Share Premium KShs.'000	Revaluation Reserve KShs.'000	Retained Profits KShs.'000	Proposed Dividends KShs.'000	Total Equity KShs.'000
At 1 January 2005	118,635	80,174	54,252	359,190	-	612,251
Transfer of excess depreciation on revaluation net of related deferred tax	-	-	(9,051)	9,051	-	-
Profit for the year	-	-	-	34,418	-	34,418
Dividends						
- Proposed for 2005	-	-	-	(23,727)	23,727	-
At 31 December 2005	**118,635**	**80,174**	**45,201**	**378,932**	**23,727**	**646,669**
At 1 January 2006	118,635	80,174	45,201	378,932	23,727	646,669
Revaluation surplus	-	-	103,021	-	-	103,021
Transfer of excess depreciation on revaluation net of related deferred tax	-	-	(13,215)	13,215	-	-
Deferred tax	-	-	(26,942)	-	-	(26,942)
Profit for the year	-	-	-	71,932	-	71,932
Dividends						
- Paid for 2005	-	-	-	-	(23,727)	(23,727)
- Proposed for 2006	-	-	-	(35,591)	35,591	-
At 31 December 2006	**118,635**	**80,174**	**108,065**	**428,488**	**35,591**	**770,953**

consolidated cash flow statement

FOR THE YEAR ENDED 31 DECEMBER 2006

	2006 KShs.'000	2005 KShs.'000
CASH FLOWS FROM OPERATING ACTIVITIES		
Profit before share of loss of associated company, taxation exceptional item and taxation		
Attributable to continuing operations	102,721	76,268
Attributable to discontinued operation (Note 27)	12,618	-
	115,339	**76,268**
Adjustments for:-		
Depreciation	40,017	24,180
Leasehold land amortisation	265	369
Amortisation of goodwill	-	6,539
Foreign exchange gain	(929)	(1,887)
Interest expense	32,299	25,493
Gain on disposal of plant & equipment	(17,308)	(845)
Operating profit before working capital changes	**169,683**	**130,117**
Trade and other debtors	(124,524)	(48,470)
Stocks	(35,791)	(86,325)
Trade creditors and accruals	184,820	28,013
Related parties	(17,879)	(20,510)
Cash flows generated from operations	176,309	2,825
Income taxes paid	(9,974)	(30,964)
Interest paid	(32,299)	(25,493)
Net cash flows from / (used by) operating activities	**134,036**	**(53,632)**
CASH FLOWS TO INVESTING ACTIVITIES		
Purchase of property, plant and equipment	(80,228)	(60,752)
Work-in-progress	(15,305)	(15,170)
Proceeds on sale of plant and equipment	7,031	845
Investment in subsidiary	(1,000)	-
Net cash flows to investing activities	**(89,502)**	**(75,077)**
CASH FLOWS FROM FINANCING ACTIVITIES		
Loan proceeds	107,476	20,000
Borrowings on commercial paper	30,006	26,574
Loan paid	(20,000)	(30,000)
Dividends paid on ordinary shares	(23,727)	-
Net cash flows from financing activities	**93,755**	**16,574**
Net increase/(decrease) in cash and cash equivalents	138,287	(112,135)
Cash and cash equivalents at the beginning of the year	(123,440)	(13,192)
Effect of exchange rate changes	929	1,887
Cash and cash equivalents at the end of the year (Note 29)	**15,776**	**(123,440)**

company balance sheet

AS AT 31 DECEMBER 2006

	Note	2006 KShs.'000	2005 KShs.'000
ASSETS			
NON CURRENT ASSETS			
Property, plant & equipment	2	426,340	270,456
Work in progress	3	15,305	21,723
Prepaid leases on leasehold land	5	10,614	10,879
Investment in subsidiary companies	6	93,378	92,378
Inter company loans	9(ii)	15,832	-
		561,470	**395,436**
CURRENT ASSETS			
Stocks	7	508,509	430,513
Trade and other debtors	8	289,029	206,109
Amounts due from related parties	9(iii)	187,298	179,100
Tax recoverable	26	-	22,011
Bank balances and cash		22,271	19,626
		1,007,107	**857,359**
TOTAL ASSETS		**1,568,577**	**1,252,795**
SHAREHOLDERS' FUNDS AND LIABILITIES			
CAPITAL AND RESERVES			
Share capital	10	118,635	118,635
Reserves	11	577,938	467,846
Proposed dividends	12	35,591	23,727
		732,164	**610,208**
NON CURRENT LIABILITES			
Deferred tax	13	87,765	57,108
CURRENT LIABILITIES			
Bank overdraft	14	6,505	144,862
Loan	15	56,632	20,000
Commercial paper	16	172,932	142,926
Trade creditors and accruals	17	367,410	181,428
Amounts due to related parties	9(iii)	136,777	96,263
Tax payable		8,392	-
		748,648	**585,479**
TOTAL SHAREHOLDERS' FUNDS AND LIABILITIES		**1,568,577**	**1,252,795**

The financial statements were approved by the Board of Directors on 8 May 2007 and signed on its behalf by:

Rakesh Rao
DIRECTOR

Patrick Mwati
DIRECTOR

company income statement

FOR THE YEAR ENDED 31 DECEMBER 2006

	Note	2006 KShs.'000	2005 KShs.'000
SALES	18	1,630,086	1,244,739
Cost of sales	19	(1,051,445)	(889,354)
Gross profit		578,641	355,385
Other income	20	30,423	46,100
		609,064	**401,485**
EXPENSES			
Administration and establishment	21	236,846	175,975
Selling and distribution	22	163,792	105,336
Other expenses	23	58,843	53,730
		459,481	**335,041**
PROFIT FROM CONTINUING OPERATING OPERATIONS		149,583	66,444
Net finance costs	24	(39,783)	(29,729)
PROFIT FROM CONTINUING OPERATIONS BEFORE SHARE OF ASSOCIATE LOSS & TAXATION	25	109,800	36,715
SHARE OF ASSOCIATE LOSS		(1,000)	-
PROFIT FROM CONTINUING OPERATIONS BEFORE TAXATION		108,800	36,715
TAXATION	26	(40,196)	(18,113)
PROFIT FOR THE YEAR		**68,604**	**18,602**
		KShs.	KShs.
Earnings per share	28	**2.93**	**0.78**
Dividends:		KShs.'000	KShs.'000
Proposed for the year	12	**35,591**	**23,727**

company statement of changes in equity

FOR THE YEAR ENDED 31 DECEMBER 2006

	Share Capital KShs.'000	Share Premium KShs.'000	Revaluation Reserve KShs.'000	Retained Profits KShs.'000	Proposed Dividends KShs.'000	Total Equity KShs.'000
At 1 January 2005	118,635	80,174	94,628	298,169	-	591,606
Transfer of excess depreciation on revaluation net of related deferred tax	-	-	(9,051)	9,051	-	-
Profit for the year	-	-	-	18,602	-	18,602
Dividends						
- Proposed for 2005	-	-	-	(23,727)	23,727	-
At 31 December 2005	**118,635**	**80,174**	**85,577**	**302,095**	**23,727**	**610,208**
At 1 January 2006	118,635	80,174	85,577	302,095	23,727	610,208
Revaluation surplus	-	-	103,021	-	-	103,021
Transfer of excess depreciation on revaluation net of related deferred tax	-	-	(13,215)	13,215	-	-
Deferred tax	-	-	(26,942)	-	-	(26,942)
Profit for the year	-	-	-	69,604	-	69,604
Dividends						
- Paid for 2005	-	-	-	-	(23,727)	(23,727)
- Proposed for 2006	-	-	-	(35,591)	35,591	-
At 31 December 2006	**118,635**	**80,174**	**148,441**	**349,323**	**35,591**	**732,164**

notes to the financial statements

FOR THE YEAR ENDED 31 DECEMBER 2006

1. SIGNIFICANT ACCOUNTING POLICIES

The financial statements have been prepared in accordance with International Financial Reporting Standards. The principal accounting policies adopted remain unchanged from the previous year except as stated in paragraph (a) below:

a) Adoption of new and revised International Financial Reporting Standards (IFRS)

In 2006 new and revised standards and interpretations became effective for the first time and have been adopted by the group where relevant to its operations. This only resulted in changes in presentation and disclosures as follows:

- IAS 1 requires management judgement and key sources of estimation and uncertainty at balance sheet date to be disclosed in the financial statements
- IAS 16 has required the disclosure of comparative figures for the movements in property, plant and equipment
- IAS 24 has required the disclosures of the compensation of key management
- IAS 14 has required the disclosure of segment results

b) Basis of preparation

The financial statements are prepared in compliance with International Financial Reporting Standards (IFRS). The measurement basis applied is the historical cost basis, except where otherwise stated in the accounting policies below. The financial statements are presented in Kenya Shillings rounded to the nearest thousand (KShs' 000).

The preparation of financial statements in conformity with IFRS requires the use of estimates and assumptions. It also requires directors to exercise judgment in the process of applying the group's accounting policies. Although these estimates are based on the directors' best knowledge of current events and actions, actual results may differ from those estimates. Accounting policies '1d' and '1e' below on 'critical accounting estimates and assumptions' and 'critical accounting judgements' highlight the areas that involve a higher level of judgement, or where the estimates or assumptions used are significant to the financial statements.

c) Consolidation

The consolidated financial statements comprise the financial statements of Crown-Berger Kenya Limited (the parent company) and its wholly owned subsidiaries Twiga Paints Limited and Unibilt 2003 Limited after elimination of inter-company transactions. The 50% investment in Crown Paints & Building Products, Uganda where the parent company has no significant influence has been accounted on equity basis. The financial statements of subsidiaries are prepared for the same reporting period as the parent company, using consistent accounting policies.

d) Critical accounting estimates and assumptions

In the process of applying the group's accounting policies, directors make certain estimates and assumptions about future events. In practice, the estimated and assumed results would differ form the actual results. Such estimates and assumptions, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are described below:

Property and equipment

Directors make estimates in determining the depreciation rates for property and equipment. The rates used are set out in the accounting policy for property and equipment

These estimates are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the prevailing circumstances

e) Critical accounting judgements

In the process of applying the group's accounting policies, directors make certain judgements, that are continuously assessed based on prior experience and other determinants, including expectations of future events that, under the circumstances are deemed to be reasonable as described below:

Provisions for obsolete stocks

Directors review the stocks on an annual basis to assess the

notes to the financial statements/ continued

likelihood of obsolescence. In determining whether a stock item is obsolete, directors make judgement as to whether the stock item can be used as an input in production or is in saleable condition.

Provisions for doubtful debts

The group reviews its debtors' portfolio regularly to assess the likelihood of impairment. This requires an estimation of the amounts that are irrecoverable.

f) Revenue recognition

Sales are recognized upon delivery of products and customer acceptance, net of rebates, discounts and value added tax.

Interest income is accrued on a time basis, by reference to the principal outstanding at the effective interest rate applicable.

All other income earned by the group is recognized as it accrues.

g) Taxation

Income tax expense represents the sum of current tax payable and deferred taxation.

Current taxation is provided for on the basis of the results for the year as shown in the financial statements, adjusted in accordance with the tax legislation.

Deferred taxation is provided using the liability method, for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Deferred tax assets are recognised for all deductible temporary differences, carry forward of unused tax losses and unused tax credits to the extent that it is probable that future taxable profits will be available against which the deductible temporary differences, unused tax losses and the unused tax credits can be utilised.

h) Property, plant, equipment and depreciation

Property, plant and equipment are stated at cost or at professionally revalued amounts less accumulated depreciation and any accumulated impairment.

Property plant and equipment are revalued at periodic intervals, usually after every ten years.

Increases in the carrying amount arising on revaluations are credited to a revaluation surplus. Decreases that offset previous increases of the same asset are charged against the revaluation surplus. All other decreases are charged to the income statement.

Depreciation is calculated on the straight-line basis, at annual rates estimated to write off carrying values of the assets over their expected useful lives. The annual depreciation rates in use are:

Leasehold building	2%
Plant and machinery	8% and 10%
Fixtures & fittings	12_%
Motor vehicles	20% and 25%
Computers	20%

Excess depreciation on the revaluation surplus is transferred from the capital reserve to revenue reserve.

Gains and losses on disposal of property, plant and equipment are determined by reference to their carrying amounts and are taken into account in determining operating profit. On disposal of revalued assets, amounts in the revaluation surplus relating to that asset are transferred to retained earnings.
The carrying values of the property, plant and equipment are assessed annually and adjusted for impairment where it is considered necessary.

i) Intangible assets

Intangible assets (goodwill, trade marks, and brand names) are capitalized and amortized over their useful lives.

j) Stocks

Stocks are valued at the lower of cost and net realisable value. Cost is determined on a weighted average basis and comprises expenditure incurred in the normal course of business, including direct material costs, labour and production overheads. Net realisable value is the price at which the stock can be realised in the normal course of business after allowing for the costs of the realisation and, where appropriate, the cost of conversion from its existing state to a realisable condition. Provision is made for obsolete, slow moving and defective stocks.

notes to the financial statements/ continued

k) Leases on leasehold land

Leases on leasehold land are classified as operating leases. The costs incurred to acquire the land are included in the financial statements as long-term prepayment and amortised on a straight-line basis over the remaining lease period.

l) Foreign currency transactions

Transactions during the year are converted into Kenya Shillings at rates ruling at the transaction dates. Assets and liabilities at the balance sheet date which are expressed in foreign currencies are translated into Kenya Shillings at rates ruling at that date. The resulting differences from conversion and translation are dealt with in the income statement.

m) Employees benefits

Defined benefit pension scheme

The group operates a defined benefits post-employment pension scheme for eligible non-unionasable employees. The scheme is funded by contributions from the employees and the company. The assets of the scheme are held and administered independently of the group's assets. The group's contribution to the scheme is charged to the income statement so as to spread the cost over the service lives of employees. The defined benefit obligation is calculated every three years by independent actuaries using the projected credit unit method. Actuarial gains or losses arising from experience adjustments and changes in actuarial assumptions in excess of the greater of 10% of the value of the plan assets or 10% of the defined benefit obligation are charged or credited to income over the employees' expected average remaining working lives. Past service costs are recognized immediately in income, unless the changes to the pension scheme are conditional on the employees remaining in service for a specified period of time (vesting period). In this case, the past service costs are amortized on a straight line basis over the vesting period.

Defined contribution provident fund

The group also contributes to a statutory defined contribution pension scheme, the National Social Security Fund (NSSF). Contributions are determined by local statute and are currently limited to KShs 200 per employee per month. The group's contributions to the above schemes are charged to the income statement in the year to which they relate.

Employees' entitlements

The monetary benefits for employees' accrued annual leave entitlement at the balance sheet date are recognised as an expense accrual.

n) Financial Instruments

Financial assets and liabilities are recognized in the group's balance sheet when the group becomes a party to contractual provisions of the instrument.

Trade receivables

Trade receivables are stated at their nominal value as reduced by appropriate allowances for estimated irrecoverable amounts. An estimate is made of doubtful receivables based on review of all outstanding amounts at year end. Bad debts are written off after all efforts of recovery have been exhausted.

Trade payables

Trade payables are stated at their nominal value.

Borrowings

Interest bearing loans, overdrafts and commercial papers are recorded at the proceeds received, net of direct costs. Finance charges, including premium payable on settlement or redemption, are accounted for on accrual basis and are added to the carrying amount of the instrument to the extent that they are not settled in the period in which they arise.

o) Dividends

Dividends are charged to reserves in the year to which they relate. Proposed dividends are disclosed as a separate component of equity until approved.

p) Goodwill

Goodwill represents the excess of the cost of the acquisition over the fair value of identifiable net assets of a subsidiary at the date of acquisition. Goodwill is amortised on a straight-line basis over its useful economic life up to a presumed maximum of 10 years. It is reviewed for impairment when events or changes in circumstances indicate that the carrying value may not be recoverable. Goodwill

notes to the financial statements/ continued

is stated at cost less accumulated amortisation

q) Related Parties

In the normal course of business, the group has entered into transactions with related parties. The related party transactions are at commercial terms.

r) Provisions

Provisions are recognized when the group has a present legal or constructive obligation as a result of past events and it is probable that an out flow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate of the amount of the obligation can be made.

s) Borrowing Costs

Borrowing costs are recognised as an expense when incurred.

t) Impairment of assets

The group assesses, at each reporting date, whether there is an indication that an asset may be impaired. If such indication exists, the group makes an estimate of the asset's recoverable amount. Where the carrying amount of an asset exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. Impairment losses are recognized in the income statement.

u) Cash and cash equivalent

For the purposes of the cash flow statement, cash and cash equivalents comprise balances with less than 90 days maturity from the date of acquisition net of outstanding bank overdrafts.

v) Segment reporting

A business segment is a group of assets and operations engaged in providing products or services that are subject to risks and returns that are different from those of other segments.

notes to the financial statements/ continued

2 PROPERTY, PLANT AND EQUIPMENT

(i-a) GROUP – YEAR ENDED 31 DECEMBER 2006

	LEASEHOLD BUILDINGS KShs.'000	PLANT AND MACHINERY KShs.'000	MOTOR VEHICLES KShs.'000	FIXTURES FITTINGS & EQUIPMENT KShs.'000	TOTAL KShs.'000
Cost or valuation					
At January 2006	196,297	223,582	51,135	98,044	569,058
Revaluation surplus	59,382	22,267	-	-	81,649
Additions	7,194	28,215	8,533	36,286	80,228
Reclassifications	21,723	-	-	-	21,723
Disposals	(37,500)	-	(4,466)	(12)	(41,979)
At 31 December 2006	**247,096**	**274,064**	**55,202**	**134,318**	**710,680**
Comprising:					
Valuation 2006	124,845	42,146	-	-	166,991
Cost	122,251	231,918	55,202	134,318	543,689
	247,097	**274,064**	**55,202**	**134,318**	**710,680**
Depreciation					
At 1 January 2006	31,583	98,254	29,883	55,849	215,569
Charge for the year	4,745	16,503	7,153	11,880	40,281
Eliminated on disposals	(1,813)	-	(2,169)	(12)	(3,994)
At 31 December 2006	**34,515**	**114,757**	**34,867**	**67,717**	**251,856**
Net Book Value					
At 31 December 2006	**212,581**	**159,307**	**20,335**	**66,601**	**458,824**

No depreciation has been charged in arriving at the results for the year in respect of certain fully depreciated items of property, plant and equipment with a cost of KShs 127,793,038 (2005: KShs 122,743,589) which are still in use. If depreciation had been charged during the year on the cost of these assets at a normal rate, it would have amounted to KShs 16,506,242 (2005: KShs 17,694,565).

notes to the financial statements/ continued

(i-b) GROUP – YEAR ENDED 31 DECEMBER 2006

	LEASEHOLD BUILDINGS KShs.'000	PLANT AND MACHINERY KShs.'000	MOTOR VEHICLES KShs.'000	FIXTURES FITTINGS & EQUIPMENT KShs.'000	TOTAL KShs.'000
Cost or valuation					
At January 2005	196,297	216,157	44,485	58,819	515,758
Additions	-	7,425	14,102	39,225	60,752
Disposals	-	-	(7,452)	-	(7,452)
At 31 December 2005	**196,297**	**223,582**	**51,135**	**98,044**	**569,058**
Comprising:					
Valuation 1996	102,963	19,879	-	-	122,842
Cost	93,334	203,703	51,135	98,044	446,216
	196,297	**223,582**	**51,135**	**98,044**	**569,058**
Depreciation					
At 1 January 2005	27,723	84,771	34,011	52,336	198,841
Charge for the year	3,860	13,483	3,324	3,513	24,180
Eliminated on disposals	-	-	(7,452)	-	(7,452)
At 31 December 2005	**31,583**	**98,254**	**29,883**	**55,849**	**215,569**
Net Book Value					
At 31 December 2005	**164,714**	**125,328**	**21,252**	**42,195**	**353,489**

notes to the financial statements/ continued

2 PROPERTY, PLANT AND EQUIPMENT/ CONTINUED

(ii-a) GROUP – YEAR ENDED 31 DECEMBER 2006

	LEASEHOLD BUILDINGS KShs.'000	PLANT AND MACHINERY KShs.'000	MOTOR VEHICLES KShs.'000	FIXTURES FITTINGS & EQUIPMENT KShs.'000	TOTAL KShs.'000
Cost or valuation					
At 1 January 2006	158,796	155,729	46,280	91,736	452,541
Revaluation surplus	59,382	43,639	-	-	103,021
Additions	7,193	18,541	7,762	36,172	69,668
Reclassifications	21,723	-	-	-	21,723
Disposals	-	-	(4,465)	(12)	(4,477)
At 31 December 2006	**247,094**	**217,909**	**49,577**	**127,896**	**642,476**
Comprising:					
Valuation 2006	162,344	51,921	-	-	214,265
Cost	84,750	165,988	49,577	127,896	428,211
	247,094	**217,909**	**49,577**	**127,896**	**642,476**
Depreciation					
At 1 January 2006	28,178	76,972	26,798	50,139	182,087
Charge for the year	4,745	13,349	6,367	11,769	36,230
Eliminated on disposals	-	-	(2,169)	(12)	(2,181)
At 31 December 2006	**32,923**	**90,321**	**30,996**	**61,896**	**216,136**
Net Book Value					
At 31 December 2006	**214,171**	**127,588**	**18,581**	**66,000**	**426,340**

notes to the financial statements/ continued

2 PROPERTY, PLANT AND EQUIPMENT/ CONTINUED

(ii-b) COMPANY – YEAR ENDED 31 DECEMBER 2006

	LEASEHOLD BUILDINGS KShs.'000	PLANT AND MACHINERY KShs.'000	MOTOR VEHICLES KShs.'000	FIXTURES FITTINGS & EQUIPMENT KShs.'000	TOTAL
COST OR VALUATION					
At 1 January 2005	158,797	148,619	39,344	52,612	399,372
Additions		7,111	14,102	39,124	60,337
Disposals	-	-	(7,166)	-	(7,166)
At 31 December 2005	**158,797**	**155,730**	**46,280**	**91,736**	**452,543**
COMPRISING					
Valuation 1996	102,963	8,283	-	-	111,246
Cost	55,834	147,447	46,280	91,736	341,297
	158,797	**155,730**	**46,280**	**91,736**	**452,543**
DEPRECIATION					
At 1 January 2005	25,066	67,897	31,324	46,731	171,018
Charge for the year	3,111	9,075	2,640	3,409	18,235
Eliminated on disposals	-	-	(7,166)	-	(7,166)
At 31 December 2005	**28,177**	**76,972**	**26,798**	**50,140**	**182,087**
Net Book Value					
At 31 December 2005	**130,620**	**78,758**	**19,482**	**41,596**	**270,456**

No depreciation has been charged in arriving at the results for the year in respect of certain fully depreciated items of property, plant and equipment with a cost of KShs 108,130,148 (2005: KShs 103,080,699) which are still in use. If depreciation had been charged during the year on the cost of these assets at a normal rate, it would have amounted to KShs 15,089,867 (2005: KShs 15,266,258).

The assets other than fixtures, fittings and equipment and motor vehicles were revalued on 31 March 2006. The revaluation amounts have been incorporated in these financial statements. The basis of valuation was:

Leasehold buildings	Open market value
Plant and machinery	Open market value

The valuation was undertaken by independent professional valuers, Kiragu & Mwangi Limited. The revaluation surplus was credited to capital reserves while the revaluation deficit has been charged to the income statement as an exceptional item.

The fixtures, fittings and equipment and motor vehicles are stated at cost.

notes to the financial statements/ continued

3. WORK IN PROGRESS

	GROUP		COMPANY	
	2006 KShs.'000	2005 KShs.'000	2006 KShs.'000	2005 KShs.'000
Cost				
At 1 January	21,723	6,553	21,723	6,553
Additions	15,305	15,170	15,305	15,170
Transfer to assets	(21,723)	-	(21,723)	-
At 31 December	**15,305**	**21,723**	**15,305**	**21,723**

This relates to factory buildings to be used by Unibilt 2003 Limited.

4. EXCEPTIONAL ITEM

(i) GOODWILL ON CONSOLIDATION

	GROUP	
	2006 KShs.'000	2005 KShs.'000
Cost		
At 1 January and December	65,390	65,390
Amortisation		
At 1 January	65,390	52,309
Charge for the year	-	6,539
Exceptional item (Write off on de-recognition)	-	6,542
At 31 December	**65,390**	**65,390**
NET BOOK VALUE	-	-

The goodwill was recognised on acquisition of Twiga Paints Limited in 1995. The Board of Directors decided to amortise the goodwill amount in ten equal installments beginning financial year 1997. The directors have resolved that the manufacturing operations of Twiga Paints Limited shall be transferred to Crown-Berger Kenya Limited during the year 2006. In addition, the royalty agreement between Crown-Berger Kenya Limited and Imperial Chemical Industries PLC, which expired on 31 December 2005, was not renewed. The royalty agreement gave Crown-Berger Kenya Limited (the parent company) the right to grant sub-licenses to its subsidiaries. Consequently, no products are being manufactured by Crown-Berger Kenya Limited or Twiga Paints Limited under the brand names of Imperial Chemical Industries PLC. Accordingly, the unamortised goodwill has been charged to the income statement as an exceptional item.

(ii) DEFICIT ON REVALUATION

	GROUP	
	2006 KShs.'000	2005 KShs.'000
Deficit on revaluation	**21,371**	-

The deficit arose from the revaluation of plant and machinery in Unibilt 2003 limited, a wholly owned subsidiary.

notes to the financial statements/ continued

5. PREPAID LEASES ON LEASEHOLD LAND

	GROUP		COMPANY	
	2006 KShs.'000	2005 KShs.'000	2006 KShs.'000	2005 KShs.'000
Cost				
At 1 January and December	20,500	20,500	13,000	13,000
Disposal	(7,500)	-	-	-
At 31 December	**13,000**	**20,500**	**13,000**	**13,000**
Amortisation				
At 1 January	2,372	2,003	2,121	1,856
Charge for the year	265	369	265	265
Release on disposal	(251)	-	-	-
At 31 December	**2,386**	**2,372**	**2,386**	**2,121**
NET BOOK VALUE	**10,614**	**18,128**	**10,614**	**10,879**

The prepaid leases on leasehold land consist of three leases as follows:

i) Mogadishu Road factory - amortised over the lease period of 89 years. The un-expired lease period as at 31 December 2006 is 40 years.

ii) Likoni Road offices - amortised over the lease period of 89 years. The un-expired lease period as at 31 December 2006 is 40 years.

iii) Unibilt 2003 Limited factory – amortised over the lease period of 72 years. The un-expired lease period as at 31 December 2006 is 68 years.

6. INVESTMENT IN SUBSIDIARIES

COMPANY

Details of investment	Country of incorporation	Activity	Percentage of Equity Interest	2006 KShs.'000	2005 KShs.'000
Twiga Paints Limited (1,375,000 ordinary shares of KShs 20 each)	Kenya	Selling of Auto Paints & Decorative Products	100%	82,378	82,378
Unibilt 2003 Limited (10,000 ordinary shares of KShs 1,000 each)	Kenya	Manufacture of Tins	100%	10,000	10,000
Crown Buildings and Products limited (Uganda)	Uganda	Selling of Auto Paints & Decorative Products	50%	1,000	-
				93,378	**92,378**

notes to the financial statements/ continued

12. PROPOSED DIVIDENDS

	GROUP		COMPANY	
	2006 KShs.'000	2005 KShs.'000	2006 KShs.'000	2005 KShs.'000
	35,591	**23,727**	**35,591**	**23,727**
	KShs	KShs	KShs	KShs
Dividend per ordinary share	**1.50**	**1.00**	**1.50**	**1.00**

Dividend per share is calculated on dividends of KShs 35,590,500 (2005: 23,727,000) and on the number of shares in issue at the respective balance sheet date. Payment of the dividends is subject to withholding tax at the rate of 5% for residents and 10% for non residents.

13. DEFERRED TAX

	GROUP		COMPANY	
	2006 KShs.'000	2005 KShs.'000	2006 KShs.'000	2005 KShs.'000
The provision for deferred tax comprises:				
Accelerated tax on depreciation	49,058	54,710	43,388	31,420
Tax losses	(14,457)	(8,459)	-	-
Other timing differences	52,296	25,688	52,296	25,688
General provision	(7,919)	-	(7,919)	-
	78,978	**71,939**	**87,765**	**57,108**

14. BANK OVERDRAFT

The bank overdraft facility from Barclays Bank Kenya Limited is to the extent of KShs. 100 million and is secured by debenture of KShs. 525 million over the assets of the group supported by supplementary charge over LR 209/5792 and LR 209/4275. The weighted average interest rate on the overdraft at year-end was 16.5% (2005: 16.5%).

15. LOAN

	GROUP		COMPANY	
	2006 KShs.'000	2005 KShs.'000	2006 KShs.'000	2005 KShs.'000
Amounts falling due within one year	69,132	20,000	56,632	20,000
Amounts falling due after one year	37,500	-	-	-
	106,632	**20,000**	**56,632**	**20,000**

The loan facility from Barclays Bank Kenya Limited is secured by debenture of KShs. 525 million over the assets of the group supported by supplementary charge over LR 209/5792 and LR 209/4275. The weighted average interest rate on the loan at year-end was 9.93% (2005:8.75%).

notes to the financial statements/ continued

16. COMMERCIAL PAPER

	GROUP		COMPANY	
	2006 KShs.'000	2005 KShs.'000	2006 KShs.'000	2005 KShs.'000
	172,932	**142,926**	**172,932**	**142,926**

The interest rate on the commercial paper is at treasury bills interest rate plus 1.5%.

17. TRADE CREDITORS AND ACCRUALS

	GROUP		COMPANY	
	2006 KShs.'000	2005 KShs.'000	2006 KShs.'000	2005 KShs.'000
Amounts falling due within one year				
Trade creditors	357,940	185,693	341,555	167,624
Other creditors	13,080	11,847	9,722	8,951
Accruals	17,249	5,909	16,133	4,853
	388,269	**203,449**	**367,410**	**181,428**

18. SALES

	GROUP 2006 KShs.'000	GROUP 2005 KShs.'000	COMPANY 2006 KShs.'000	COMPANY 2005 KShs.'000
Decorative paints	1,468,538	1,060,685	1,494,817	1,026,557
Industrial paints	117,442	102,439	117,442	89,453
V.R. range	17,827	138,570	17,827	51,944
Tins	76,303	59,376	-	-
Others	9,520	81,369	-	76,785
	1,689,630	**1,442,439**	**1,630,086**	**1,244,739**

19. COST OF SALES

	GROUP 2006 KShs.'000	GROUP 2005 KShs.'000	COMPANY 2006 KShs.'000	COMPANY 2005 KShs.'000
Raw materials	943,027	856,223	947,114	775,449
Salaries and wages	58,982	44,067	39,101	31,204
Depreciation of plant and machinery	27,825	20,360	24,560	15,099
Machinery repairs and maintenance	13,409	8,705	7,061	8,643
Fuel, water and electricity	34,897	43,966	27,443	36,260
Royalties	-	17,238	-	17,238
Others	6,232	8,604	6,166	5,461
	1,084,372	**999,163**	**1,051,445**	**889,354**

20. OTHER INCOME

	GROUP 2006 KShs.'000	GROUP 2005 KShs.'000	COMPANY 2006 KShs.'000	COMPANY 2005 KShs.'000
Gain on disposal of plant & equipment	14,205	845	641	845
Interest income	-	978	20,097	16,853
Miscellaneous income	1,394	8,351	1,232	8,321
Bad debts recovered	8,453	23,533	8,453	20,081
	24,052	**33,707**	**30,423**	**46,100**

notes to the financial statements/ continued

27. DISCONTINUED OPERATIONS

On 1st July 2006, operations of Twiga Paints Limited, a wholly owned subsidiary were transferred to Crown-Berger Kenya Limited, the parent company. Consequently, the subsidiary became a dormant company. The company was manufacturing and selling paints and ancillary products for decorative, vehicle refinish and industrial market. The paints were manufactured under license from ICI PLC UK until 31st December, 2005.

a) The results of Twiga Paints Limited for the year are presented below:

	2006 KShs. '000
TURNOVER	68,796
COST OF SALES	(48,576)
Gross profit	**20,220**
OTHER INCOME	5,152
Total income	**25,372**
EXPENSES	
Administrative & establishment	7,142
Selling & distribution	4,901
Finance costs	711
	12,754
Profit from discontinuing operations before taxation	12,618
Taxation	(4,458)
Profit from discontinuing operations after taxation	**8,160**

b) The major un-disposed classes of assets and liabilities of Twiga Paints Limited as at 31 December 2006 are as follows:

	2006 KShs. '000
ASSETS	
CURRENT ASSETS	
Debtors & prepayments	5,464
Due from related company	136,777
Cash & bank balances	17
	142,258
CURRENT LIABILITIES	
Tax payable	(1,481)
Creditors	(1,665)
	(3,146)
Net assets directly associated with discontinued operation	**139,112**

notes to the financial statements/ continued

27. DISCONTINUED OPERATIONS/ CONTINUED

c) Net cash flows from Twiga Paints Limited are as follows:

	2006 KShs.'000
CASH FLOWS FROM OPERATING ACTIVITIES	
Net profit before taxation	12,618
Adjustments for: -	
Gain on disposal of fixed assets	(3,103)
Operating profit before working capital changes	**9,515**
Increase/(decrease) in amounts due from parent company	(67,741)
Decrease/(increase) in trade and other debtors	29,440
Decrease/(Increase) in stocks	28,358
(Decrease)/increase in trade creditors and accruals	(1,898)
Cash flows used in operations	**(2,326)**
Income taxes paid	(3,896)
Net cash flows used in operating activities	**(6,222)**
CASH FLOWS FROM INVESTING ACTIVITIES	
Proceeds from sale of fixed assets	3,103
Net cash flows from investing activities	**3,103**
Net decrease in cash and cash equivalents	(3,119)
Cash and cash equivalents at the beginning of the year	3,136
Cash and cash equivalents at the end of the year	**17**

d) Earnings per share

Basic and diluted, from discontinued operation	**6**

28. EARNINGS PER SHARE

a) Basic earnings per share is calculated on the profit after tax and on the average number of ordinary shares in issue during the year.

b) Diluted earnings per share is calculated on the profit after tax and on the average number of ordinary and bonus shares in issue.

c) The basic and diluted earnings per share are the same.

notes to the financial statements/ continued

a) Business Segments (continued)

	CONTINUING OPERATIONS		ELIMINATION	CONSOLIDATED	DISCONTINUED	TOTAL
	Paints KShs.'000	Tins KShs.'000	KShs.'000	KShs.'000	Paints KShs.'000	KShs.'000
ASSETS AND LIABILITIES						
Segment assets	1,475,199	220,633	(162,091)	1,533,741	142,259	1,676,000
Investment in associate	93,378	-	(92,378)	1,000	-	1,000
Total assets	**1,568,577**	**220,633**	**(254,469)**	**1,534,741**	**142,259**	**1,677,000**
Segment liabilities	**836,413**	**227,578**	**(300,203)**	**763,788**	**3,146**	**766,934**
OTHER SEGMENT INFORMATION						
Capital expenditure - tangible fixed assets	69,668	10,562	-	80,228	-	80,228
Capital expenditure - work in progress	15,305	-	-	15,305	-	15,305
Depreciation and amortisation of leasehold land	36,230	4,051	-	40,281	-	40,281
Exceptional item - Revaluation deficit	-	21,371	-	21,371	-	21,371
Service fees	58,843	-	-	58,843	-	58,843
Average number of employees	185	41	-	226	7	233

b) Geographical Segments

The major part of the Group's business is all within Kenya.

33. ROYALTY AGREEMENT WITH IMPERIAL CHEMICAL INDUSTRIES (UK) LTD

The royalty agreement between the parent company and Imperial Chemical Industries (UK) Ltd expired on 31 December 2005. The parent company opted not to renew the agreement. Consequently, the company no longer produces the DULUX brands.

34. STAFF RETIREMENT DEFINED BENEFIT SCHEME

Contributions to the company staff retirement benefit scheme are determined by the rules of the scheme and totaled KShs 2,964,668 (2005 – KShs 2,470,617) in the year.

An actuarial valuation was last carried out as at 31 December 2004 by Aon Consulting and Actuarial Services. The valuation revealed a surplus of KShs 10,535,000, representing a funding level of 137.7%. This is above the 80% minimum funding level allowed by the Retirement Benefit Authority.

Valuation assumptions:

Valuation interest rate	10% p.a.
Salary escalation rate	8% p.a.
Pension increase rate	3% p.a.
Proportion of investment return credited to members' balances	70%

The next actuarial valuation is scheduled for 31 December 2007.

notes to the financial statements/ continued

35. POST BALANCE SHEET EVENT

Unibilt 2003 Limited is a wholly owned subsidiary which manufactures metal and plastic items. The company from 1st May 2007 has leased the manufacturing facilities to Metal Cans and Closures Kenya Limited and will be receiving monthly lease rentals.

36. EMPLOYEES

The average number of employees for the group during the year was 233 (2005: 202).

37. COMPARATIVES

Where necessary, comparative figures have been adjusted to conform with changes in presentation in the current year.

38. CURRENCY RISK

The group operates wholly within Kenya and its assets and liabilities are reported in the local currency. Although some of its transactions are in foreign currency, it held no significant foreign currency exposure as at 31 December 2006.

39. INCORPORATION

The company is incorporated in Kenya under the Kenyan Companies Act.

notes to the financial statements/

[illegible]

[illegible]

[illegible]

[illegible]

[illegible]

crown